Can public 13D disclosures become useful signals?

Jeff Lu, CFA | Discussion with Professor Michael Sternberg | October 5, 2026

Investment question. Can investor identity, ownership and stated plans help an outside investor select better investments after an initial Schedule 13D becomes public?

I have built a historical following baseline and prepared filing data. Simple following has not established a reliable investable edge. The next test is whether information available at disclosure improves selection.

What I have completed

Historical baseline: screened initials versus amendments, linked historical stocks and measured post-disclosure returns. Funded simulations use 5% issuer targets, at most 20 issuers, liquidity limits, modeled costs and cash interest.

Structured preparation: processed and audited 15,813 initial-filing candidates (2013-2025) from 75,631 archive records, with source-backed ownership and prior-disclosure histories. These are not independent campaigns or validated managers.

Manager research: built descriptive scorecards from 35 HFR snapshots (2018 Q1-2026 Q3). Fund performance differs from disclosure-following returns. No selection model or validated intent-NLP result exists yet.

What the baseline actually says

Exploratory focused activist-candidate sample	Result / interpretation
Approximately 24 months; 56 calculable events	Mean excess +8.66 percentage points; median -14.91; 41.1% beat the proxy. 95% interval for mean: -17.34 to +40.43 points.
24-month industry/year/size controls; 17 matches	-8.08 percentage points versus controls. The smaller matched comparison does not support the positive overall mean.

2018-2025 exploratory research window; modeled entry at the open on the second exchange session after acceptance; 504-session holding. Equally weighted gross stock-minus-Russell-size-ETF returns, not risk-adjusted alpha. Only 56 of 67 scheduled focused events were calculable; the 17 matches overlap that sample. Horizons were revised after inspecting earlier results. Funded accounts prevent concurrent duplicate issuer positions; primary $100k 18/24/36-month accounts remain incomplete at an acquisition-settlement exception.

Candidate signals to test - hypotheses, not findings

Who: dated manager identity and completed prior disclosure-following outcomes; separately test HFR fund-performance ranks. Does either predict subsequent opportunities?

What and why: attributable ownership plus specific board, sale, capital-return or restructuring plans, conditioned on valuation and balance-sheet risk. Does intent add value beyond structured data?

When: later public stake or intent changes as a separate strategy extension. Can they improve entry/exit decisions after costs? This has not been tested.

Questions I would value your perspective on

1. Value creation: which activism mechanisms are most worth modeling, and what would indicate credible upside that is not already priced in at disclosure?

2. Signal choice: would you prioritize investor track record, ownership/influence, or a specific catalyst? Is reported fund performance a useful proxy for this question?

3. Modeling: should I begin with a scenario valuation of upside, downside and time to realization, or a 12-24-month benchmark-relative return target?

4. Evidence bar: how would you distinguish a selection edge from factor exposures, concentrated winners and overlapping events in a chronological, after-cost test?

Next experiment. Validate dated identities and availability; freeze one selection rule and evaluation design. Compare information sets under common trading rules, using only facts and completed outcomes known at each cutoff.

Sources: Phase 1 conclusion/results (Sept 24); Phase 2 progress (Sept 25); HFR scorecards/protocol (Sept 30). Links in companion notes. AI-assisted synthesis; no new backtest.